

B.E.T.Trade

Major Pairs

Course notes - Lessons 02.1 to 02.3

EUR/USD · GBP/USD · USD/JPY + the correlations system

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Notes generated from the B.E.T.Trade Forex course. For the full lessons with video walkthroughs, see the Pro tier.

EUR/USD

The pair you learn forex on. The most traded instrument on the planet, with the tightest spread, the cleanest technicals, and the most behaved liquidity sweeps. If you can't make money on EUR/USD, you won't make it on anything else.

~11 min read

TL;DR - THE PAIR IN ONE PARAGRAPH

EUR/USD is the world's most liquid pair - roughly 24% of all forex volume. That liquidity gives it the tightest spread (0.0-0.3 pip raw), the cleanest reactions to levels, and the most predictable session profile. It moves on the EU-US monetary policy divergence (ECB vs Fed), inversely tracks DXY, and explodes in the London-NY overlap (13:00-17:00 NY). Master this pair first. Everything else is a variation.

Why EUR/USD is *the* starting pair

If forex were a music school, EUR/USD would be the piano - the instrument you learn the fundamentals on before touching anything else. There's a reason every textbook, every YouTube tutorial, every prop firm demo starts with it. Three reasons actually.

One - it's the most liquid. 24% of the entire \$7.5 trillion daily forex volume flows through this single pair. That liquidity means tight spreads, instant execution, and price action that respects technical levels because there are enough participants to actually defend those levels.

Two - the fundamentals are clean. You have exactly two players to track - the ECB and the Fed. Compare that to GBP/USD where you also need to track Brexit aftershocks and UK political risk, or USD/JPY where the BoJ does weird things nobody else does.

Three - it's boring in the best way. EUR/USD doesn't spike 200 pips on a random Tuesday morning. It moves in measurable, repeatable ranges. That predictability is exactly what a new trader needs to actually see their edge work over a sample of trades.

EUR/USD is the boring pair you marry. GBP/USD and USD/JPY are the exciting pairs you date once you can afford the breakup.

Who's pulling each side - *the fundamentals*

Every forex pair is a tug-of-war between two central banks. For EUR/USD, the ropes are:

- **The European Central Bank (ECB)** - sets the deposit facility rate, runs Asset Purchase Programmes, gives the Thursday after each meeting press conference where Lagarde basically decides EUR direction for the next 6 weeks
- **The US Federal Reserve (Fed)** - sets the federal funds rate, runs QT/QE cycles, releases the FOMC statement every 6-8 weeks plus a dot plot quarterly

The driver is **rate differential**. When the Fed is hiking faster than the ECB, dollars become more attractive to hold (you earn more yield), capital flows into USD, EUR/USD falls. When the ECB plays catch-up and starts hiking, the differential narrows, EUR strengthens, EUR/USD rises.

That's the whole macro story in two sentences. The complication is timing - markets price in expected moves 6-12 months in advance, so by the time the ECB actually hikes, the move is often already done.

The DXY relationship - your secret indicator

EUR/USD is roughly **57% of the DXY (Dollar Index) basket**. That means EUR/USD and DXY are mathematically near-perfectly inversely correlated. If DXY goes up, EUR/USD goes down. Almost always. To three decimal places.

DXY components (and their weights):
EUR 57.6 % JPY 13.6 % GBP 11.9 %
CAD 9.1 % SEK 4.2 % CHF 3.6 %

Practical use: when you're about to long EUR/USD, pull up DXY on a separate chart. If DXY just broke a key support, EUR/USD will likely break the mirror-image resistance. If DXY is consolidating below resistance, expect EUR/USD to also stall.

I personally have DXY in my workspace next to EUR/USD permanently. Half my entries are confirmed by DXY doing the inverse move at the same level. The pair gives you two charts for the price of one.

REAL EXAMPLE - USING DXY FOR CONFIRMATION

EUR/USD approaches 1.0850 resistance after a clean uptrend.

DXY is sitting on 103.50 support at the same time.

If DXY bounces hard off 103.50 with a clean reversal candle, EUR/USD almost certainly rejects 1.0850. Short setup confirmed by two charts.

If DXY breaks 103.50 cleanly, EUR/USD breaks 1.0850 and continues. Don't fight the dollar.

Volatility profile - how much it actually moves

Average True Range (ATR) on EUR/USD daily is roughly **60-90 pips** depending on the macro regime. Quiet ranges (low volatility periods) can be 40 pips. Active news weeks can be 120-150 pips.

That makes EUR/USD a **medium-volatility pair**. Wider than USD/CHF and EUR/CHF (40-60 pips daily), tighter than GBP/USD (80-130 pips daily), much tighter than GBP/JPY (130-200 pips daily).

Session	NY time	Typical range	Character
Tokyo (Asian)	20:00 - 02:00	15-25 pips	Sleepy, range-bound
London open	02:00 - 05:00	30-50 pips	Volatility wakes up
London-NY overlap	08:00 - 12:00	40-70 pips	The real moves
NY afternoon	12:00 - 17:00	20-35 pips	Trend continues or fades
Rollover + Asian	17:00 - 20:00	5-15 pips	Dead, avoid

The takeaway: 70% of EUR/USD's daily range happens between 02:00 NY and 12:00 NY. Outside that window you're typically wasting screen time.

Session behaviour - *where EUR/USD actually lives*

Each session has a personality. Learn them and you'll know which kind of setup to even bother looking for.

Asian session (20:00 - 02:00 NY)

EUR/USD is on lunch break. Volume from European desks is zero, US is asleep, and Asian flows go mostly into USD/JPY, AUD/USD, NZD/USD. You'll see EUR/USD drift sideways in a 15-25 pip range.

Trade plan: don't. Mark the Asian range high and low - those become liquidity targets for London open.

London open (02:00 - 05:00 NY)

European desks wake up, EUR liquidity floods in. EUR/USD typically sweeps the Asian range - either takes out the Asian high to grab buy-side liquidity, then reverses, or sweeps the Asian low and bounces. This is one of the cleanest setups in forex.

The sweep-and-reverse pattern works because real European traders are now placing orders against the overnight noise. If the Asian session drifted up into a level, London usually sweeps it and dumps. If it drifted down, London sweeps the low and pumps.

London-NY overlap (08:00 - 12:00 NY)

The Super Bowl of forex. New York desks are now active alongside London - this is the only window where both major dollar centers are open simultaneously. Volume peaks, spreads tighten to their absolute lowest, and the day's real directional move usually happens here.

If EUR/USD is going to break a key level today, it'll do it between 08:30 and 11:00 NY. NFP, CPI, FOMC - all released into this window. This is also where retail traders get murdered because the move happens fast and they're chasing it instead of being positioned ahead.

NY afternoon (12:00 - 17:00 NY)

London desks log off around 12:00 NY. Liquidity drops, spreads slowly widen. The morning trend either continues with smaller follow-through, or fades back toward the day's open. Good for taking partials, not great for new entries.

Rule of thumb: if you didn't enter by 11:00 NY, you missed the move. Wait for tomorrow.

Key levels EUR/USD actually respects

Because liquidity is high, EUR/USD respects technical levels with more discipline than less-traded pairs. The levels that matter, in order of importance:

1. **Previous day's high / low (PDH / PDL)** - the single most-respected intraday level. EUR/USD sweeps PDH or PDL approximately 65% of trading days. When it sweeps and reverses, that's typically the day's setup.
2. **Previous week's high / low (PWH / PWL)** - weekly liquidity. When EUR/USD takes one of these out, expect a major reaction either way.
3. **New Week Opening Gap (NWOG)** - the gap between Friday's close and Sunday's open. Often gets filled within the first 3 days of the week.

4. **Daily open** - where price opened at 17:00 NY (or 00:00 server time on most charts). Strong magnetic level - if price diverges far above or below, it often returns to test it.
5. **Round numbers (1.0800, 1.0850, 1.0900)** - psychological levels with real stop clusters. EUR/USD respects these even when they're not technically significant.

ICT/SMC concepts - *how they map onto EUR/USD*

If you've gone through the main Trading Plan, this should feel like home. EUR/USD is where ICT and SMC concepts work most reliably because the liquidity supports them.

- **Liquidity sweeps (BSL / SSL)** - very clean on EUR/USD. The sweep-and-reverse on London open is essentially a Buy Side Liquidity grab or Sell Side Liquidity grab in textbook form.
- **Market Structure Shift (MSS)** - when EUR/USD breaks a swing high/low after a sweep, the MSS confirmation is usually clean and tradeable.
- **Fair Value Gaps (FVGs)** - EUR/USD typically respects 4H and 1H FVGs as retracement zones with surgical precision. Smaller TF FVGs (5m, 15m) are noisier.
- **Order Blocks (OB)** - especially the last down-close candle before an up move (+OB) or last up-close candle before a down move (-OB). High win rate on EUR/USD because liquidity respects those structural points.
- **Killzones (London, NY AM)** - the time windows where 80% of the institutional EUR flow happens. Outside the killzones, you're trading noise.

News events that *actually* move EUR/USD

Not every red-folder news release matters. Rank them by impact:

Event	Frequency	Typical move	Source
FOMC rate decision	~8x/year	60-150 pips	Fed
NFP (Non-Farm Payrolls)	Monthly	40-100 pips	BLS (US)
US CPI	Monthly	40-90 pips	BLS (US)
ECB rate decision	~8x/year	50-120 pips	ECB
ECB press conference	Same day	30-80 pips	ECB
Eurozone CPI flash	Monthly	20-50 pips	Eurostat
US PCE inflation	Monthly	20-40 pips	BEA (US)
US Retail Sales	Monthly	15-35 pips	Census (US)

Two practical rules around news:

- **30 seconds before release** - spread blows out 10-20x. Don't enter.
- **First 15-30 seconds after release** - explosive but unpredictable. The initial spike is often the wrong direction. Wait for the dust to settle.
- **5-15 minutes after release** - the "real" direction emerges. This is when the actual move happens.

Bread-and-butter setups on EUR/USD

Setup 1 - London Open Sweep & Reverse

Pre-market: mark the Asian session high and low (20:00-02:00 NY). At London open (02:00-05:00 NY), price sweeps one side of the Asian range, then reverses with an MSS on 5m or 15m. Enter on the FVG retest after MSS.

SETUP MECHANICS

Asian range: 1.0840 - 1.0855. Bias from H4: bearish.

London opens, sweeps the Asian high at 1.0855, hits 1.0858, then forms a 15m bearish MSS down through 1.0845.

Wait for retest of the 15m FVG between 1.0848-1.0851. Short with SL above 1.0860 (above the sweep wick). Target: PDL or NY session low.

Typical RR on this setup: 3-5R.

Setup 2 - NY AM Continuation

If London established a clean direction during 02:00-08:00 NY and price is now in the London-NY overlap, the NY AM session often extends the London move. Wait for the first pullback into a 5m or 15m FVG after 08:30 NY and enter in the London direction.

SETUP MECHANICS

London ran EUR/USD up from 1.0840 to 1.0875. Now it's 09:00 NY.

Price pulls back to 1.0863 - that's inside a 15m bullish FVG from the London leg.

Enter long on the FVG retest, SL below the local swing low at 1.0858. Target: the day's range expansion to 1.0890.

Typical RR: 2.5-4R.

Risk profile - what you can *actually* expect

Typical SL distance on EUR/USD intraday setups: **10-25 pips**. The pair is tight enough that you don't need 50+ pip stops. If your setup needs a 60 pip SL on EUR/USD, your analysis is wrong - this isn't gold.

Typical 1R target: 25-50 pips (1:1.5 to 1:3 setups are the norm). Bigger 1:5+ runs happen on news days or when a major structural level breaks.

Pip value reminder: EUR/USD = \$10 per 1 standard lot per pip. So a 20 pip SL on 1 lot = \$200 risk. With proper lot sizing from the Lot Sizing lesson, you'd be using 0.10-0.25 lot on a \$5,000 account for 1% risk.

When *not* to trade EUR/USD

- **Friday 12:00 NY onwards** - liquidity collapses into the weekend, false moves multiply.
- **Asian session** - the range is too tight for any setup to give meaningful RR.
- **30 minutes before any USD red-folder news** - spread widens, slippage destroys your edge.
- **FOMC day before the announcement** - the entire morning is chop. Wait until 14:00 NY.
- **Quarter-end / month-end** - portfolio rebalancing flows can override technicals entirely.
- **The week between Christmas and New Year** - skeleton volume, every level is a fake-out.

Common *mistakes* on EUR/USD

1. **Trading the Asian session because "the chart is moving"** - those 5 pip moves are noise, not signal. You'll burn through commission and spread.
2. **Ignoring DXY** - if your EUR/USD long has DXY breaking out the same direction, you're fighting the dollar. Pull up DXY before every entry.
3. **Using GBP/USD volatility expectations** - "EUR/USD only moved 25 pips today, this is rigged!" No, that's just EUR/USD on a quiet day. Adjust expectations.
4. **Trading through NFP without a plan** - either be flat 5 minutes before release, or have a specific plan for after release. Don't get caught holding into it.
5. **Overleveraging because "EUR/USD doesn't move much"** - a slow pair with a 4x position is still a 4x risk. Lot size always.

Cheatsheet for your phone

Pin this:

What	Number	Context
Daily ATR	60-90 pips	Medium volatility
Spread (ECN raw)	0.0-0.3 pips	Tightest in forex
Pip value (1 lot)	\$10	For USD-quoted pairs
DXY weight	57.6 %	Inverse correlation
Best session	08:00-12:00 NY	London-NY overlap
Worst session	17:00-20:00 NY	Rollover dead zone
Typical SL range	10-25 pips	Intraday setups

Last words - *master this pair first*

If you take one thing from this lesson: **spend three months trading EUR/USD only**. No GBP/USD distractions, no XAU/USD revenge trades, no exotic pair late at night. Just EUR/USD, just London and NY AM, just one or two setups.

After 3 months you'll know the pair. You'll feel when a sweep is real and when it's noise. You'll know when DXY is screaming a fade and when it's confirming the move. You'll have enough sample size to actually trust your stats.

Then - and only then - you graduate to GBP/USD. The next lesson breaks down "The Cable" - the same playbook but louder, faster, with bigger pips and bigger fakeouts. Different beast, same hunting techniques.

GBP/USD

The Cable. The volatility king of the majors. EUR/USD's louder, faster, more emotional cousin. Bigger pip ranges, deeper sweeps, brutal fakeouts - and when you read it right, the kind of moves that make a week in one afternoon. Welcome to London's playground.

~12 min read

TL;DR - THE PAIR IN ONE PARAGRAPH

GBP/USD is EUR/USD on espresso. 30-50% wider daily ranges, 2-3x bigger London Open sweeps, deeper retracements, and a tendency to fake out one direction before going the other way. London session belongs to GBP - that's when the real money is moving sterling. Spread is wider than EUR/USD (0.3-0.6 pip raw vs 0.0-0.3), so you pay for the volatility. Master this pair second, after EUR/USD feels boring.

Where the name "**Cable**" comes from

Quick history detour because it's actually a great story. In the 1860s, before satellites and fiber optics, the only way to send a price quote between London and New York was through a literal **transatlantic telegraph cable** laid across the Atlantic seabed. The first successful cable went live in 1866, connecting Valentia Bay in Ireland to Heart's Content in Newfoundland.

Forex traders in both cities started referring to the GBP/USD exchange rate as "the cable rate" - the rate that came through the cable. The name stuck. Today, 160 years later, every forex desk on earth still calls GBP/USD "**Cable**". Bloomberg ticker still calls it that. It's the only major with a permanent nickname.

If you hear a trader say "long Cable at 1.27" - they mean GBP/USD. If you say "long GBP" they'll assume you mean GBP against the dollar unless you specify a cross. Cable = GBP/USD, always.

Why GBP/USD moves harder

Three structural reasons GBP/USD has bigger ranges than EUR/USD even though both have major economies behind them.

One - smaller market depth. EUR/USD has 24% of global forex volume. GBP/USD has roughly 9%. That's still huge in absolute terms, but it's 2.5x less liquidity than EUR/USD. Less liquidity = wider moves on the same volume of orders. A \$5B hedge fund position in EUR/USD barely moves the needle. The same position in GBP/USD shifts the pair 20-30 pips.

Two - the UK economy is smaller and more concentrated. The Eurozone is 19 countries with diversified industries. The UK is one country with a heavy weighting in financial services (which makes GBP sensitive to risk-on/risk-off) and a still-recovering relationship with its biggest trading partner (the EU). Brexit isn't 2016 anymore, but its aftershocks still appear in trade data, Northern Ireland disputes, and the occasional political crisis. All of that translates to wider sterling moves.

Three - the BoE is more reactive. The ECB is famously slow to move - 25 basis points at a time, well telegraphed, rarely surprises markets. The Bank of England has historically been more willing

to surprise: emergency hikes, larger-than-expected cuts, hawkish-then-dovish pivots within a single quarter. That unpredictability translates directly to GBP volatility around BoE meetings.

The fundamentals - BoE vs Fed

Same structural game as EUR/USD - two central banks pulling on a rope - but the players have different personalities:

- **The Bank of England (BoE)** - sets the bank rate, runs QT/QE cycles, releases the MPC (Monetary Policy Committee) decision and minutes 8 times a year. Vote splits matter - a 5-4 hike feels less hawkish than a 9-0 hike even if the rate change is identical.
- **The US Federal Reserve (Fed)** - same role as for EUR/USD. The Fed's dot plot and FOMC statement also move GBP/USD because the USD side of the pair is identical.

Watch the **rate differential** the same way you watch it for EUR/USD. But for GBP, also watch UK CPI specifically - the BoE is more inflation-reactive than the ECB historically.

Volatility profile - compared head-to-head

Numbers don't lie. Here's GBP/USD next to EUR/USD on the same metrics:

Metric	EUR/USD	GBP/USD	GBP delta
Daily ATR	60-90 pips	80-130 pips	+35%
London Open sweep size	15-30 pips	30-60 pips	+90%
Typical SL range (intraday)	10-25 pips	20-45 pips	+75%
Spread (ECN raw)	0.0-0.3 pip	0.3-0.6 pip	+50%
Average news reaction	40-100 pips	60-160 pips	+60%
Daily volume share	24%	9%	-63%

That spread difference matters. On a 10 pip intraday move, an extra 0.3 pip spread is 3% drag. On a scalp strategy with 50+ trades per month, that 3% adds up to real money. The volatility compensates - but only if you actually catch the moves.

London Open - GBP's home turf

If EUR/USD's best session is the London-NY overlap, GBP/USD's is the **London Open** (02:00-05:00 NY, 07:00-10:00 London). This is when sterling does most of its damage.

Reason: GBP is London's currency. The UK gilts market opens, UK equities open, UK corporate flows fire. EUR/USD also reacts to London open but the move on GBP is bigger because GBP is the local currency. Combine that with the typical London Open liquidity sweep pattern (sweep Asian high or low, reverse) and you get the cleanest, biggest setups of the GBP trading week between 02:00 and 05:00 NY.

Session	NY time	GBP range	Trade plan
Tokyo	20:00 - 02:00	20-35 pips	Avoid - dead zone
London Open	02:00 - 05:00	50-90 pips	Prime setup window
London-NY overlap	08:00 - 12:00	50-100 pips	News-driven moves
NY afternoon	12:00 - 17:00	30-50 pips	Trail or take profit

Session	NY time	GBP range	Trade plan
Rollover	17:00 - 20:00	10-20 pips	Never enter

The Cable's signature trick - the double sweep

EUR/USD usually sweeps one side of the Asian range at London Open and reverses. GBP/USD likes to do something more annoying: **sweep one side first, reverse, then sweep the other side, then reverse for real.**

This double-sweep pattern catches everyone. The first sweep grabs the early longs (or shorts). The reversal looks legit, so traders jump in. Then GBP rips back through the other side, stops out the new positions, *and then* finally moves in the eventual direction. Three groups of retail get murdered before the actual setup forms.

REAL-WORLD EXAMPLE OF A DOUBLE SWEEP

03:00 NY. Asian range: 1.2710 - 1.2735.

03:15 - GBP/USD sweeps the Asian high, hits 1.2745. Looks like a sweep-and-reverse for shorts.

03:30 - reverses down, breaks back below the Asian range. Shorts feel smart.

04:00 - dives all the way to 1.2695, sweeping the Asian low. Stops out the early shorts who entered at 1.2740 with SL above 1.2750.

04:15 - bottoms at 1.2695, forms a 15m MSS up, retests an FVG at 1.2708, and rips up to 1.2755 by 06:00.

The "real" setup was the second sweep + MSS. Anyone who entered on the first sweep got stopped out. Welcome to the Cable.

On GBP/USD, the second sweep is the setup. The first sweep is bait. Wait for the double.

Key levels - what GBP/USD actually respects

Mostly the same hierarchy as EUR/USD, but with different reliability:

1. **Previous Day's High / Low (PDH / PDL)** - GBP sweeps PDH or PDL on ~70% of trading days (higher than EUR/USD's 65%). Sweep-and-reverse plays here are gold.
2. **Previous Week's High / Low (PWH / PWL)** - very respected, often gives 80-120 pip reactions on first test.
3. **New Week Opening Gap (NWOG)** - usually fills within Monday-Tuesday on GBP.
4. **Round numbers (1.2700, 1.2750, 1.2800)** - magnetic on GBP. Round-number stop hunts are a daily occurrence.
5. **The "00" and "50" levels specifically** - GBP loves to sweep 1.2700, sweep 1.2750, sweep 1.2800. Mark these for every trading session.

One difference from EUR/USD: GBP/USD is more likely to **break and reverse** at key levels rather than rejecting cleanly. A clean rejection on EUR/USD might be a wick + 1 confirming candle. On GBP, the rejection often happens after a 15-25 pip false break.

ICT/SMC on GBP/USD

The concepts work, but the parameters change:

- **Liquidity sweeps** - sweeps are bigger and faster. Expect 30-60 pip sweeps where you'd see 15-30 on EUR/USD. Your invalidation level needs to account for that.
- **MSS** - market structure shifts on GBP often happen on 5m and 15m TFs but get faked on 1m. Stick to 5m+ for confirmation.
- **FVGs** - 1H and 4H FVGs are very reliable. 5m FVGs are noisy because the bigger pip ranges make small FVGs less meaningful. Use 15m as the floor for entry TF.
- **Order Blocks** - work well but the OB body needs to be larger. A 5-pip OB on GBP is basically nothing - look for OB candles that are 15+ pips with body.
- **Killzones** - London Open killzone (02:00-05:00 NY) is GBP's prime time. NY AM still works but the move is usually 60-70% of the London Open move's magnitude.

News events that *actually* move GBP/USD

Event	Frequency	Typical move	Side
BoE rate decision	~8x/year	80-200 pips	GBP
UK CPI	Monthly	50-120 pips	GBP
UK Unemployment + wages	Monthly	40-80 pips	GBP
UK GDP (quarterly)	Quarterly	30-70 pips	GBP
FOMC rate decision	~8x/year	60-150 pips	USD
NFP	Monthly	40-100 pips	USD
US CPI	Monthly	40-90 pips	USD
UK political headlines	Unpredictable	30-150 pips	GBP

Two things to flag: **UK political risk is real**. Snap elections, no-confidence votes, Northern Ireland Protocol disputes - these can move GBP 100+ pips on no economic news at all. EUR/USD doesn't have this in the same way because the Eurozone has no single political center.

Also **BoE communication is critical**. The MPC meeting itself often produces a 30 pip move; the press conference an hour later sometimes triples that. Don't be in a position 30 minutes before the conference.

The GBP/JPY connection - *your sister pair*

One quirk specific to GBP traders: **GBP/JPY is highly correlated with GBP/USD, but bigger**. GBP/JPY is roughly the "stress amplifier" of sterling - moves go further, faster, and with more conviction.

Practical implication: if you can read the Cable, you can almost trade GBP/JPY blind in the same direction (with smaller position size because the pip values are different). And vice versa - GBP/JPY sometimes leads. If GBP/JPY breaks structure first, GBP/USD often follows within minutes.

This isn't a setup recommendation - just an awareness piece. Keep GBP/JPY on a secondary chart when you're in a Cable trade. If GBP/JPY breaks against you, your Cable trade is probably wrong.

Bread-and-butter setups on GBP/USD

Setup 1 - London Open Double Sweep

The bread and butter. Pre-market mark the Asian range (20:00-02:00 NY). At London Open, wait. Don't enter on the first sweep. Wait for the price to come back, sweep the other side, and only then look for MSS and entry.

SETUP MECHANICS

Asian range: 1.2710-1.2735. Bias from H4: bullish.

03:15 NY - sweep the Asian high to 1.2745, reverse down. *Don't short.*

04:00 NY - sweep the Asian low to 1.2695. Now look for 15m bullish MSS.

04:20 NY - 15m MSS prints, retest 15m FVG at 1.2705-1.2710. Long, SL below 1.2695 (below the second sweep wick). Target: 1.2755-1.2780.

Typical RR: 3-6R.

Setup 2 - BoE Decision Day Fade

BoE typically releases the rate decision at 07:00 NY (12:00 UK). The initial spike is often the wrong direction - especially on close vote splits or "dovish hike" / "hawkish hold" scenarios. Don't trade the spike. Wait 15-30 minutes, let price establish a real direction, then look for a 5m MSS in the corrected direction and enter on the first pullback.

SETUP MECHANICS

BoE expected to hold rates at 5.25%. Markets priced 30% chance of cut.

07:00 NY - BoE holds, but vote split is 6-3 in favor of a cut (more dovish than expected).

07:00-07:05 - GBP spikes up 40 pips on relief rally, then stalls.

07:05-07:30 - reversal back down through the pre-release level, MSS prints on 5m.

07:35 - retest of the 5m FVG inside the reversal leg. Short, SL above the post-release high. Target: pre-release range low or PDL.

Typical RR: 2-4R. Don't take the initial spike trade. Wait for the correction.

Risk profile - *sizing for a bigger pair*

Typical intraday SL on GBP/USD: **20-45 pips**. That's double EUR/USD. Which means - if you're using 1% risk on a \$5,000 account - your position size on GBP needs to be **roughly half** of what you'd use on EUR/USD for the same dollar risk.

This is the most common mistake on Cable: traders carry the same lot size habits from EUR/USD and get smoked because the bigger SL means bigger dollar risk per trade. Use the Lot Sizing formula mechanically, not by feel.

SIZING COMPARISON

\$5,000 account, 1% risk = \$50 per trade.

EUR/USD setup, 20 pip SL: lot size = $\$50 / (20 \times \$10) = \mathbf{0.25 \text{ lot}}$

GBP/USD setup, 40 pip SL: lot size = $\$50 / (40 \times \$10) = \mathbf{0.125 \text{ lot}}$

Same dollar risk. Half the position on GBP. Most retail traders do not adjust and end up risking 2% on every GBP trade by accident.

When *not* to trade GBP/USD

- **30 minutes before BoE or FOMC** - spread doubles, stops slippage, get murdered. Be flat.
- **Asian session** - even quieter than EUR/USD's Asian session. Cable in Tokyo hours is a coin flip with cost.
- **Friday afternoon** - GBP gets thin into the weekend, sweeps are random rather than directional.
- **UK bank holidays** (and there are more than you'd expect) - London desks are out, GBP liquidity drops, fake-outs multiply.
- **During UK political shock days** - "snap election called", "PM resignation" - GBP becomes a headline machine. Skip the session.
- **When you're tilted from a EUR/USD loss** - revenge-trading EUR loss on GBP is the fastest way to double down on a bad day.

Common *mistakes* on GBP/USD

1. **Carrying EUR/USD lot sizing onto GBP** - the bigger SL means you're risking 1.5-2x per trade without realizing it.
2. **Entering on the first London Open sweep** - on GBP it's almost always bait. Wait for the second sweep.
3. **Tight SLs because "tight SLs are professional"** - GBP's natural noise will hit any SL under 15 pips. Either use 20+ pip SLs or trade a different pair.
4. **Trading BoE press conferences** - the spreads, slippage, and headline whipsaw are not worth the move. Wait until 30 minutes after.
5. **Confusing GBP volatility with opportunity** - just because Cable is moving doesn't mean there's a setup. No setup, no trade, no matter how much it's running.

Cheatsheet for your phone

What	Number	Context
Daily ATR	80-130 pips	~40% wider than EUR/USD
Spread (ECN raw)	0.3-0.6 pips	Wider than EUR/USD
Pip value (1 lot)	\$10	Same as EUR/USD
Best session	02:00-05:00 NY	London Open killzone
Secondary session	08:00-12:00 NY	NY AM continuation
Worst session	17:00-20:00 NY	Rollover + Asian start
Typical SL range	20-45 pips	2x EUR/USD
BoE meeting day	~8x per year	Watch for 100+ pip moves

Last words - *respect the Cable*

GBP/USD will reward you for patience and punish you for arrogance. The pair has murdered more accounts than any other forex major because traders see the bigger pip ranges and think "more pips = more profit". Wrong. More pips means more *opportunity* - and more *risk*. Without adjusted sizing and a different setup discipline (wait for the double sweep, use wider SLs, scale into BoE days), Cable will eat you alive.

If you've got 3 months of solid EUR/USD trading behind you, you're ready for GBP. Same playbook, just dial up your patience by 30%, your SL by 50%, and your sizing by 0.5x. The wins are bigger, the losses are bigger, but the edge is the same.

Next stop: **USD/JPY**. Different beast entirely. The safe-haven pair, BoJ ultra-loose policy, the only major with 2-decimal pip mechanics, and where we'll finally tie all three majors together with correlation tables and session matching rules. The full system.

USD/JPY

The safe-haven pair. The yen story. The only major where pips work differently and where the global "fear gauge" sets direction. Plus - the final section pulls all three majors together into one system: correlations, session matching, and how to stop accidentally tripling your risk by trading three pairs that secretly move as one.

~14 min read

TL;DR - THE PAIR IN ONE PARAGRAPH

USD/JPY is the global stress barometer. JPY strengthens in panic (USD/JPY falls) and weakens in greed (USD/JPY rises). It's driven by the yield gap between US Treasuries and Japanese Government Bonds - the bigger the gap, the more capital flows into USD, the higher USD/JPY climbs. The BoJ runs ultra-loose policy (negative-or-near-zero rates) while the Fed runs whatever it runs - that differential is the macro engine. Pip mechanics are different (2 decimals, not 4). Tokyo session matters here. Watch for intervention risk above 150.

Why USD/JPY is the *odd one out*

EUR/USD and GBP/USD are basically the same trade in slightly different costumes. Both are "anti-dollar" pairs - they go up when the dollar weakens, both have major Western central banks pulling on them, both peak in volume during the London-NY overlap. If you understand EUR/USD, you mostly understand GBP/USD.

USD/JPY breaks that mold. Three things make it fundamentally different:

One - the direction convention is flipped. EUR/USD up = dollar weak. GBP/USD up = dollar weak. USD/JPY up = dollar strong (because USD is the base, JPY is the quote). When DXY breaks out of a range higher, EUR/USD and GBP/USD fall; USD/JPY rises. It's the only major where "dollar strength" looks like an uptrend on the chart.

Two - the yen is a safe-haven currency. When global markets panic - stocks crash, geopolitics escalates, credit spreads blow out - capital flees to "safe" currencies: USD, CHF, and JPY. JPY strengthens. USD/JPY falls. This makes USD/JPY behave like an inverse VIX in a lot of stress scenarios.

Three - the time zone difference matters. EUR/USD and GBP/USD are quiet during the Tokyo session. USD/JPY isn't - it's the home session for one of the two currencies. The Asian session can produce real, tradeable moves on USD/JPY that you'd never see on the other majors.

EUR/USD trades politics and policy. GBP/USD trades drama. USD/JPY trades fear and yields. Different game.

The fundamentals - *BoJ vs Fed (and the carry trade)*

The macro story on USD/JPY is the simplest of any major, even if the dynamics underneath are wild:

- **The Bank of Japan (BoJ)** - keeps interest rates extremely low, often negative or zero, and runs yield curve control (YCC) - it actively buys JGBs (Japanese Government Bonds) to keep long-term yields capped. The BoJ has been "ultra-loose" since basically forever, with brief recent shifts toward normalization.
- **The US Federal Reserve (Fed)** - normal rate-setting central bank, hiking or cutting in response to inflation and employment data.

The result: US interest rates are almost always far higher than Japanese ones. If you can borrow yen at 0.1% and buy US Treasuries paying 4.5%, you earn 4.4% on the spread - the famous "**yen carry trade**". Trillions of dollars are tied up in some version of this trade.

Carry trade flows are why USD/JPY tends to grind higher for months at a time when the yield gap widens, then crash violently when something forces carry-trade unwinds (risk-off events, BoJ surprise hikes, sudden VIX spikes).

The *signal source nobody talks about* - US 10Y yield

This is the most important external indicator for USD/JPY traders, and almost no retail platform shows it next to the chart:

USD/JPY ↔ US 10Y Treasury yield

correlation ≈ +0.85 (very high)

direction: same (yield up → USD/JPY up)

Practical use: when US 10Y yield breaks out of a multi-week consolidation, USD/JPY follows within hours or days. When 10Y yield breaks down through a key support, USD/JPY does the same. The yield chart is often **cleaner** than the USD/JPY chart for picking direction.

Set up a yield chart in your workspace. TradingView ticker: **US10Y**. Watch it. When 10Y yield is making higher highs and you're short USD/JPY, you're fighting the bond market - and the bond market wins.

REAL-WORLD EXAMPLE USING YIELDS

USD/JPY consolidating in a 145.50-147.00 range for two weeks. No clear breakout signal on the pair itself.

US 10Y yield breaks out of 4.20-4.35% range, closes above 4.40%.

USD/JPY follows within 24 hours, breaks 147.00, runs to 148.50.

The setup was on the yield chart, not on USD/JPY. Yields lead.

Risk-on vs risk-off - *the panic engine*

The "safe haven" status of JPY is the second-biggest driver after yields. Here's the mechanism:

Japan has been a net creditor to the world for decades - Japanese pension funds, insurance companies, and households hold enormous amounts of foreign assets (US stocks, US Treasuries, European bonds, etc.) bought with borrowed yen. When global markets panic, those Japanese institutions **repatriate** - they sell foreign assets and bring the money home, converting back to yen. That conversion buys yen and sells the foreign currency, strengthening JPY.

So when you see a major sell-off in equities, USD/JPY tends to fall even if nothing changed about US-Japan fundamentals. The mechanical flow is enough.

- **Risk-on day** (stocks up, VIX down): USD/JPY tends to grind higher
- **Risk-off day** (stocks down, VIX up): USD/JPY tends to fall sharply
- **Geopolitical shock** (war, terrorist attack, surprise election): USD/JPY can drop 200+ pips in a few hours on pure flight-to-safety

If S&P futures are down 2% premarket, you're probably not going long USD/JPY into NY open - regardless of what your technicals say.

2-decimal pip mechanics - quick recap

Critical reminder from the Pip Value lesson:

- For EUR/USD and GBP/USD, 1 pip = 0.0001 (the 4th decimal)
- For USD/JPY, 1 pip = 0.01 (the 2nd decimal)

This is purely a historical convention - the yen was never redenominated, so its quotes look like 149.85 instead of 1.4985. The math adapts.

```
USD/JPY @ 150.20 → 150.21 = move of 1 pip
USD/JPY @ 150.20 → 150.50 = move of 30 pips
```

Pip value formula for JPY pairs:

Pip value = (pip × lot size) / current rate

USD/JPY @ 150.20, 1 standard lot:

$(0.01 \times 100,000) / 150.20 = \6.66 per pip

One standard lot on USD/JPY produces about \$6.66 per pip at current rates - **roughly 33% less than the \$10/pip on USD-quoted pairs**. To get the same dollar profit on USD/JPY as you'd get on EUR/USD, you either need more pips or a bigger position.

Volatility profile

Session	NY time	Typical range	Character
Tokyo (Asian)	20:00 - 02:00	30-60 pips	Active - home session
London Open	02:00 - 05:00	30-50 pips	Continuation or fade
London-NY overlap	08:00 - 12:00	40-80 pips	The real moves
NY afternoon	12:00 - 17:00	20-40 pips	Trend continuation
Rollover	17:00 - 20:00	10-20 pips	Avoid

Unique to USD/JPY: the Tokyo session actually moves. Range during Asian hours is 2-3x larger than EUR/USD's Asian range. This means you have more session windows to work with on USD/JPY - Tokyo morning setups are real, not just "wait for London".

Intervention risk - when the Japanese government gets involved

Unique to USD/JPY: above certain levels (historically 150, 155, 160), Japanese authorities start making noise about "currency intervention" - the Ministry of Finance (MoF) can authorize the BoJ to literally sell USD/buy JPY in the open market to push USD/JPY lower.

Intervention happens in waves:

1. **Verbal intervention (jawboning)** - MoF officials warn that "excessive moves are not desirable", "all options are on the table". Usually causes 100-200 pip retracement immediately.
2. **Rate checks** - BoJ asks banks for live USD/JPY quotes (the precursor to real intervention). Markets see this as a serious warning - 200-400 pip retracement common.
3. **Actual intervention** - BoJ sells billions of USD against JPY. Causes 500-1000+ pip moves in minutes. Has happened multiple times in the 2022-2024 window.

Practical implication: **USD/JPY long positions above 150 carry asymmetric risk**. The upside is bounded by intervention threats; the downside is a sudden cliff. Adjust sizing or use wider SLs above key intervention zones.

Key levels USD/JPY respects

1. **Round numbers - especially the "5" and "0" levels** - USD/JPY respects 145.00, 147.50, 150.00 with religious devotion. Liquidity clusters at these levels.
2. **Previous Day's High / Low (PDH / PDL)** - swept about 60% of days. Slightly less reliable than EUR/USD because Tokyo session can move price away from PDH/PDL before London even opens.
3. **Previous Week's High / Low** - very respected. First test usually produces a clean reaction.
4. **Asian session high / low** - much more meaningful than on EUR/USD because Asian session is active. Often becomes a sweep target for London/NY.
5. **Big psychological levels (150, 155, 160)** - intervention zones. Always watch what happens here.

ICT/SMC concepts on USD/JPY

- **Liquidity sweeps** - work well, but watch the Asian session as a sweep target rather than ignoring it. London Open might sweep the Asian high or low instead of the previous day's range.
- **MSS** - very clean during NY AM. Tokyo session MSS can be noisy due to lower volume.
- **FVGs** - reliable, especially on 1H and 4H. JPY pairs sometimes leave wider FVGs because of news spikes - those wide FVGs often get filled cleanly later.
- **Killzones** - Tokyo killzone (20:00-23:00 NY) is real on USD/JPY. London killzone (02:00-05:00 NY) still works. NY AM (08:30-11:00) is prime.

News events that move USD/JPY

Event	Frequency	Typical move	Side
FOMC rate decision	~8x/year	60-150 pips	USD
BoJ rate decision	~8x/year	50-200 pips	JPY
US CPI	Monthly	40-90 pips	USD
NFP	Monthly	40-90 pips	USD

Event	Frequency	Typical move	Side
US 10Y auction (3pm NY)	Monthly	15-30 pips	USD yields
Japan CPI	Monthly	30-60 pips	JPY
MoF intervention warnings	Unpredictable	100-300 pips	JPY
Major risk-off events	Unpredictable	100-500+ pips	Cross-asset

Bread-and-butter setups

Setup 1 - Tokyo Range Break with NY Continuation

Pre-market mark the Tokyo session range (20:00-02:00 NY). At London Open, USD/JPY often breaks the Tokyo range in one direction. If that breakout holds through London and NY AM continues in the same direction, enter on the first pullback into a 5m or 15m FVG during the NY-AM hours (08:30-11:00).

SETUP MECHANICS

Tokyo range: 149.80-150.20.

03:00 NY - USD/JPY breaks above 150.20, runs to 150.45.

05:00 NY - retraces to 150.30, holds above broken range.

08:30 NY - US CPI comes in hot. USD/JPY pops to 150.70.

09:00 NY - pullback to a 15m bullish FVG at 150.50. Long, SL below 150.30 (below the 5am hold). Target: 151.00.

Typical RR: 2.5-4R.

Setup 2 - Risk-Off Yen Strength Trade

When S&P futures or NQ futures drop significantly premarket (1%+) and VIX is spiking, USD/JPY often follows with a flush. Wait for the initial panic move to exhaust (don't catch the falling knife), look for a 5m or 15m MSS confirmation in the new direction, then enter on a retest.

SETUP MECHANICS

06:30 NY - S&P futures down 1.5% on geopolitical headlines. VIX up 4 points.

USD/JPY drops from 150.20 to 149.50 by 07:30 NY.

08:00 NY - 15m bearish MSS confirms on the lower TF.

08:20 NY - retest of the bearish FVG at 149.75. Short, SL above 149.95 (above the MSS high). Target: 149.00 or next support.

Typical RR: 2-3R.

Risk profile for USD/JPY

Typical intraday SL: **15-35 pips**. Similar to EUR/USD, slightly wider during high-volatility regimes.

Pip value math means a 20 pip SL on 1 standard lot of USD/JPY = \$133 risk ($20 \times \6.66), versus \$200 on EUR/USD. So for the same dollar risk, you can size **about 50% bigger** on USD/JPY than on EUR/USD.

SIZING COMPARISON - \$5,000 ACCOUNT, 1% RISK = \$50

EUR/USD setup, 20 pip SL: $\$50 / (20 \times \$10) = \mathbf{0.25 \text{ lot}}$

GBP/USD setup, 40 pip SL: $\$50 / (40 \times \$10) = \mathbf{0.125 \text{ lot}}$

USD/JPY setup, 20 pip SL: $\$50 / (20 \times \$6.66) = \mathbf{0.375 \text{ lot}}$

Same dollar risk, three different position sizes. Use the formula, never the feel.

When *not* to trade USD/JPY

- **Above intervention zones during quiet sessions** - if you're above 155 and there's no liquidity, a single MoF tweet can dump 200 pips in seconds.
- **30 minutes before BoJ or FOMC** - spreads blow out.
- **Major risk-off mornings without a hedge** - if S&P is crashing, USD/JPY is unpredictable. Either be flat or be the short side.
- **During Japan bank holidays** - Tokyo session is dead, Asian liquidity is thin.
- **Friday afternoon** - thin into the weekend, position-square moves dominate over technicals.

Cheatsheet for your phone

What	Number	Context
Daily ATR	70-110 pips	Variable with risk regime
Spread (ECN raw)	0.2-0.5 pip	Tight on majors
Pip value (1 lot @ 150)	\$6.66	Lower than EUR/GBP
Pip = decimal	0.01	2 decimals, not 4
Best session	08:00-12:00 NY	London-NY overlap
Secondary session	20:00-23:00 NY	Tokyo killzone
External indicator	US 10Y yield	+0.85 correlation
Intervention zones	150, 155, 160	Asymmetric risk

The *correlations system* - tying all three majors together

Now the payoff. You've got EUR/USD, GBP/USD, and USD/JPY in your head as individual pairs. Most retail traders stop here. The problem: these three pairs don't move independently. They move as a **system**, mostly driven by the dollar. Trading them as if they're independent is how you accidentally triple your risk.

The correlation matrix - *what actually correlates*

	EUR/USD	GBP/USD	USD/JPY
EUR/USD	1.00	+0.80	-0.70
GBP/USD	+0.80	1.00	-0.55
USD/JPY	-0.70	-0.55	1.00

Approximate rolling 60-day correlations. Exact values shift with macro regime. The signs are stable; the magnitudes wobble.

Read this carefully:

- **EUR/USD and GBP/USD correlate +0.80** - they move together about 80% of the time. Both anti-dollar pairs, both pulled by the USD side.
- **EUR/USD and USD/JPY correlate -0.70** - they move opposite each other most of the time. When EUR/USD goes up, USD/JPY goes down. Mostly.
- **GBP/USD and USD/JPY correlate -0.55** - same direction logic as EUR vs JPY but weaker, because GBP has its own UK-specific drivers.

The trap - accidentally tripling your risk

Let's say you have three "great setups" on the same morning:

- Long EUR/USD (1% risk)
- Long GBP/USD (1% risk)
- Short USD/JPY (1% risk)

You think: "1% per trade, three trades, 3% total risk - diversified across three majors". Wrong.

All three trades are essentially the same trade: **short the dollar**. If the dollar strengthens unexpectedly (DXY breakout, hot CPI, hawkish Fed comment), all three positions hit SL roughly together. You don't lose 1% three times - you lose 3% in one move, because the trades are correlated.

Three correlated trades at 1% each is not 3% risk. It's 1.7-2.5x that, depending on correlation strength. The dollar moves, everything moves.

RISK MATH WHEN CORRELATED

Three trades, each 1% risk, with +0.7 average correlation:

Effective combined risk $\approx 1\% \times \sqrt{3 + 2 \times 0.7 \times 3} = 1\% \times \sqrt{7.2} \approx \mathbf{2.7\% \text{ combined risk}}$

You thought you risked 3% across uncorrelated bets. You're actually risking 2.7% on essentially one trade tripled. And if you got the dollar direction wrong, you lose all three together.

The practical rules - how to actually trade the three together

1. **Rule 1 - One USD direction per session.** If you're short the dollar, pick one pair to express that view. Don't long EUR/USD *and* long GBP/USD *and* short USD/JPY at the same time. Pick the strongest setup, scale your normal position size.
2. **Rule 2 - Use DXY as the dollar lens.** Before any major trade, pull up DXY. If DXY is breaking down, you're looking for long EUR/USD, long GBP/USD, or short USD/JPY - *but pick one*. If DXY is breaking up, do the opposite, pick one.
3. **Rule 3 - Combined positions for hedging, not amplification.** If you must have multiple pairs open, use them for asymmetric exposure - e.g. long EUR/USD as the directional bet, hedged by a small long USD/JPY as insurance against unexpected dollar strength. This is advanced - most beginners shouldn't bother.

4. **Rule 4 - Cap total dollar-direction exposure at 1.5x your normal trade size.** If you really see two setups (EUR/USD and GBP/USD), enter at half size each rather than full size each. Your combined risk approximates one full-size trade.
5. **Rule 5 - When in doubt, EUR/USD only.** When the correlations are confusing or the setups are unclear, default to EUR/USD as your "house pair". Don't add complexity.

Session matching - *which pair in which session*

Session	NY time	Best pair	Why
Tokyo	20:00 - 02:00	USD/JPY	JPY home session
London Open	02:00 - 05:00	GBP/USD	GBP home session, biggest sweeps
Late London	05:00 - 08:00	EUR/USD	European liquidity peak
NY AM	08:00 - 11:00	EUR/USD or USD/JPY	News-driven, tight spreads
NY PM	11:00 - 17:00	USD/JPY	Trend continuation
Rollover	17:00 - 20:00	None	Avoid all majors

Practical use: instead of having all three majors on your screen all day looking for setups, focus on the right pair for the session you're trading. If you're a London Open trader, the Cable is your primary focus. If you're a Tokyo session trader, USD/JPY is your focus. EUR/USD works across overlapping sessions but is best in NY AM.

DXY - *the universal lens*

The single most useful chart for trading all three majors is **DXY** (Dollar Index). Why? Because DXY tells you the dollar's direction directly, and all three majors are mostly dollar trades.

- **DXY breaks up** → EUR/USD falls, GBP/USD falls, USD/JPY rises. Look for shorts on EUR/GBP, longs on USD/JPY.
- **DXY breaks down** → EUR/USD rises, GBP/USD rises, USD/JPY falls. Look for longs on EUR/GBP, shorts on USD/JPY.
- **DXY consolidating** → no clear dollar direction, look for pair-specific stories (UK CPI for GBP, Japan intervention for JPY, ECB headlines for EUR).

Use DXY to **pick your direction**, then use the individual pair charts to **pick your entry**. That's the workflow.

Last words - *master the three as one*

Most retail traders treat EUR/USD, GBP/USD, and USD/JPY as three separate trading instruments. They aren't - they're three views of the dollar with idiosyncratic side stories (UK politics, Japan intervention, ECB pace). Once you internalize the correlations, the session matching, and DXY as your universal lens, you stop "diversifying" by accident and start actually choosing the best expression of each macro view.

The framework: **DXY for direction. Pair selection for execution. One USD trade per session. Lot sizing per pair (because pip values differ).**

You're done with the Major Pairs section. The next stops in the Forex track are **XAU/USD (Gold) Playbook** (which behaves nothing like a currency pair), **London + NY Killzones** applied specifically to forex, **Prop Firms - FTMO and friends**, and **News Trading - NFP, CPI, ECB, BoE** with surgical entry rules. Each one builds on what you have now.

Take a break. Open a chart. Watch DXY, EUR/USD, GBP/USD, and USD/JPY for one full session as a system. Feel how they move together. Then come back when you're ready to keep going.